American agencies were monitoring Headley and that intelligence they gathered led to the warnings issued to India regarding the Mumbai plot.[92] If so, this would suggest investigators put him under surveillance following either the 2005 or 2007 warnings, or perhaps that his former US handlers began tracking him because they suspected foul play. However, it is also possible that information regarding the attacks was gathered through communications intercepts or other sources on the ground in Pakistan or Afghanistan.

Headley did not begin performing surveillance for Lashkar until the end of 2006 and the Mumbai attack plot did not take shape until 2008. Indeed, five years after joining Lashkar the group had made little use of Headley and it appears to have taken a misadventure in the Tribal Areas to bring him into contact with his handler Major Iqbal. In January 2006 Headley and his friend Abdur Rehman Syed, the retired army major who joined Lashkar in 2003, were detained in the Khyber tribal agency. The two were there on what appears to have been an unsanctioned mission to solicit Headley's old drug smuggling contacts to bring weapons into India. When interviewed by an ISI officer known as Major Samir Ali, Headley told him about his association with Lashkar and the likelihood that he eventually would be deployed to work in India. Ali suggested he knew some people who could be useful to this mission and said they would be in touch.[93] The following day the two Lashkar men were released and returned to Lahore. Major Iqbal contacted Headley not long afterwards. Iqbal's boss was also present at their initial meeting and promised Headley financial support as well as directing him to report to Iqbal henceforth. After his trip back to the US in February 2006 to formalize his name-change, Headley again met with Iqbal who assigned an NCO to train him on the basics of intelligence. This included how to create sources and operate covertly, and after proffering instruction the NCO often took Headley onto the streets of Lahore to practice. Headley returned to the US again in June 2006 where he claimed to have solicited the assistance of a friend, Tahawwur Hussain Rana, who owned the First World Immigration business. He too was a graduate of the Hasan Abdal Cadet College, and Headley alleged Rana gave him permission to open an immigration office in Mumbai as a cover for his surveillance activities.[94]